

Ministry of Electronics & IT



Production Linked Incentive Schemes Strengthen India's Electronics Manufacturing Ecosystem, Boosting Domestic Production, Exports and Value Addition

Electronics Production Grows Seven-Fold to Over ₹13 Lakh Crore, Exports Increase Eleven-Fold to Over ₹4 Lakh Crore in the Last 12 Years

Electronics Manufacturing Ecosystem Supports Around 25 Lakh Jobs, with Mobile Manufacturing Employing Around 12 Lakh People and Women Constituting Nearly 70% of Workforce in High-Precision Manufacturing Segments

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Driven by Hon'ble Prime Minister's vision of Make in India and Atmanirbhar Bharat, Government of India has taken several policy initiatives to develop a complete ecosystem of electronics manufacturing.

The Government adopted a well thought out strategy to develop India's electronic manufacturing ecosystem - beginning with the manufacturing of finished products, followed by sub-assemblies, components, and eventually machinery and tools. At the same time, the Government focused on creating the necessary infrastructure to support electronics manufacturing.

As a result of these initiatives, India has emerged as a global electronics manufacturing hub. Electronic manufacture in India has expanded significantly in the last 12 years, which can be seen from the following statistics:

#	2014-15	2025-26	Remarks
Production of electronics goods (₹)	~1.9 Lakh Cr	~13.11 Lakh Cr	Increased 7 times

Export of electronics goods (₹)	~38 thousand Cr	~4.24 Lakh Cr	Increased 11 times
Production of mobile phones (₹)	~18 thousand Cr	~6.27 Lakh Cr	Increased 33 times
Export of mobile phones (₹)	~15 hundred Cr	~ 2.59 Lakh Cr	Increased 165 times

The electronics production has increased from Rs. 11.32 lakh crores in FY 2024-25 to Rs. 13.11 Lakh crores in FY 2025-26 growing at a year-on-year growth rate of 15.8% in the last one year.

The growth in electronics manufacturing has been possible due to various measures taken by the Government in the last 12 years to promote domestic production, exports and value addition of electronic goods including mobile phones, IT Hardware and electronic components. Some of the major initiatives include:

- PLI Scheme for Large Scale Electronics Manufacturing
- PLI Scheme 2.0 for IT Hardware
- Electronics Component Manufacturing Scheme (ECMS)
- Semicon India Programme
- Modified Electronics Manufacturing Clusters (EMC 2.0) Scheme
- Scheme for Promotion of Manufacturing of Electronic Components and Semiconductors (SPECS)
- Modified Programme for Development of Semiconductors and Display Manufacturing Ecosystem in India.
- Public Procurement (Preference to Make in India) Order to promote using made in India goods.
- Allowing 100% FDI in the sector

Production Linked Incentive (PLI) Scheme for Large Scale Electronics Manufacturing (LSEM)

The Government of India launched the Production Linked Incentive (PLI) Scheme for Large Scale Electronics Manufacturing (LSEM) in 2020 to boost domestic manufacturing of mobile phones in the country.

Performance under PLI Scheme for LSEM (till March, 2026) is as follows:

Category	Target for 5 Years	Actual Reported till March 2026 (Cumulative)
Investment (Rs. Cr)	7,000	20,587 (294%)

Production (Rs. Cr)	8,12,550	11,61,581 (142%)
Exports (Rs. Cr)	4,87,530	6,43,323 (132%)

- Smartphones, which did not feature in top 100 exported commodities in 2014 have now emerged as India's top exported individual commodity in FY 2025-26 by surpassing petroleum, gems and jewellery.
- India has now reached a point where 99.2% of the mobile phones being used in India are made in India.
- India today is the second largest mobile manufacturer in volume terms.
- The country has transitioned from being a net importer of mobile phones in 2014 to becoming a net exporter.
- PLI-LSEM has catalysed investments of approximately Rs. 96,000 crore (around USD 14 billion) in the mobile manufacturing ecosystem across the country.
- The external evaluation study of the PLI Scheme for LSEM reported that, alongside the significant increase in production and exports, domestic value addition (DVA) increased to 23% in FY 2023–24.

The details of state-wise approved applicants under the PLI Scheme for LSEM are placed at **Annexure-I**.

PLI Scheme 2.0 for IT Hardware

The Government of India has also launched PLI Scheme 2.0 for IT Hardware in 2023 to create a robust domestic manufacturing ecosystem for IT hardware (laptops, tablets, servers, etc.), attract large investments, reduce import reliance, and make India a trusted global supply chain hub. As on date, the Schemes have led to a total cumulative production of Rs. 24,385.89 crore, total cumulative investment of Rs. 1056.36 crore and total cumulative employment of 5,216 (direct jobs).

The details of state-wise approved applicants under PLI Scheme 2.0 for IT Hardware are placed at **Annexure-II**.

To further strengthen the domestic electronics manufacturing ecosystem and enhance domestic value addition, the Government has taken the following initiatives:

Electronics Component Manufacturing Scheme (ECMS)

The Government launched ECMS to further deepen the supply chain ecosystem and develop a robust electronics component ecosystem in the country.

It aims to attract investments across key components such as Printed Circuit Boards (PCBs), passive components, electro-mechanical components, sub-assemblies, camera modules, optical transceivers, and capital goods required for electronics manufacturing.

The scheme envisaged an investment of Rs 59,350 crore from the domestic/global manufacturers in India and direct employment of 91,600 during the scheme tenure.

As on date, a total 75 applications for 23 products have been approved under ECMS. These approved units are expected to attract investments of Rs 61,671 crore, generate projected production of Rs 4.51 lakh crore, and create 65,040 direct employment opportunities.

Government schemes have led to developments of many Micro, Small and Medium Enterprises (MSMEs) which have got integrated into the supply chain of global value chains. MSMEs play a critical role as supply chain partners of these global value chains and also by supporting them in various ancillary activities of electronic manufacture. So far more than 85 MSMEs have been supported under various schemes of MeitY.

Semicon 2.0

Further, to improve domestic value addition and as well as larger ecosystem development in semiconductor technologies which form a substantial part of the bill of material of any electronic product, the Government had launched the Semicon India Programme. So far 12 projects have been approved under this programme for a total committed investment of Rs 1.64 lakh crores. Out of these 3 projects have already started commercial production. Building on the success of this programme, the Union Cabinet approved Semicon 2.0 on 15th July 2026 with outlay of the program is Rs 1,27,500 Cr. Semicon 2.0 aims to accelerate design and development of Indian designed chips, expand semiconductor fabrication units (fabs), advanced packaging and also larger semiconductor ecosystem development by supporting materials and gases, equipment needed for semiconductor manufacturing.

Employment generation in the electronics ecosystem

As on date, India's electronics manufacturing sector supports ~25 lakh jobs (direct and indirect) reflecting the sector's growing role in creating industrial employment opportunities. The Mobile manufacturing ecosystem alone currently employs around 12 lakh people (both direct and in-direct) across the value chain. The electronics manufacturing sector has emerged as an important sector for gender-inclusive industrial growth, with a few high-precision mobile phone manufacturing segments employing almost 70% of the total workforce as women.

Annexure-I

State wise approved applicants under PLI Scheme for LSEM

S. No.	State	No. of Applicants
1	Andhra Pradesh	2
2	Delhi	1
3	Gujarat	1

4	Haryana	1
5	Himachal Pradesh	1
6	Karnataka	6
7	Kerala	1
8	Maharashtra	7
9	Rajasthan	1
10	Tamil Nadu	4
11	Telangana	1
12	Uttar Pradesh	6
	Total	32

Annexure-II**State wise approved applicants under PLI Scheme 2.0 for IT Hardware**

S. No.	State	No. of Applicants
1	Andhra Pradesh	1
2	Delhi	1
3	Gujarat	1
4	Haryana	2
5	Karnataka	2
6	Kerala	1
7	Madhya Pradesh	1

8	Maharashtra	3
9	Pondicherry	1
10	Rajasthan	1
11	Tamil Nadu	6
12	Telangana	1
13	Uttar Pradesh	6
	Total	27

This information was submitted by Union Minister of State for Electronics and Information Technology Shri Jitin Prasada in Lok Sabha on 29.07.2026.

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